

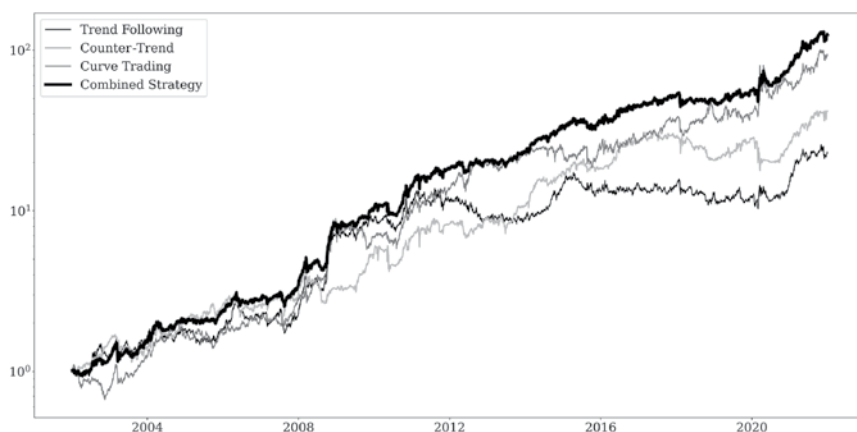


FIGURE 9.2 Combined strategy performance.

should focus on a single style and keep your portfolio pure. But that would mean that you miss out on this free effect of style diversification.

The numbers in Table 9.2 look almost too good to be true, and in this field you should always be sceptical of anything that looks too good to be true. In this case, it's absolutely true as a theoretical, mathematical example. To actually implement this and realise such numbers is, of course, a whole different matter. The point here is not that you will get a Sharpe ratio of 1.3 if you follow these exact rules. If that's your takeaway from this book so far, I'm afraid you have missed the plot.

What I'm saying here is that there is, without a doubt, a huge value to be had in diversification. Across markets and across styles. Together, they can achieve incredibly impressive results. Ignore style diversification at your own peril.

TABLE 9.2 The value of style diversification

	Annualised return (%)	Maximum drawdown (%)	Annualised volatility (%)	Sharpe ratio	Best month (%)	Worst month (%)	Percent profitable months
Trend Following	16.9	-42.4	26.9	0.72	47.2	-18.9	53.8
Counter Trend	14.7	-27.8	16.9	0.89	13.9	-13.9	60.8
Curve Trading	25.4	-39.2	30.4	0.90	66.7	-19.0	63.8
Combined	27.3	-23.8	20.2	1.29	40.0	-14.2	67.1